Atchison

February 2025

Monthly Market Update

Illuminating
the way forward

Key Events in February 2025

Interest rates, political actions, and market volatility shaped a volatile yet uncertain February 2025.

- The main event locally in February was the Reserve Bank finally cutting the official cash rate by 0.25% to 4.10%. The quarter point reduction was the first by the RBA since late 2020 and reverses the isolated hike in November 2023.
- In financial markets, investors pared back expectations of further official interest rate cuts, including US Federal Reserve on the uptick in inflation. Markets also trimmed futures market pricing for further rate cuts in Australia.
- President Trump's flurry of executive orders dominated the global news flow in February. The most contentious being new tariffs on imports to the US from Canada, Mexico and China, alongside threatened tariffs on European exports.
- The ASX 200 dropped -4.2% in February. Cyclical sectors led the losses, with Technology (-12.3%), Financials (-4.4%) and Consumer Discretionary (-3.1%) all suffering, while defensive sectors such as Consumer Staples (+1.5%) and Utilities (+3.2%) fared better.
- Nearly 70% of major Australian companies have now reported December half earnings – bad news from the banks and resources companies but most companies are doing better.
- Another strong jobs report for January. Australian employment rose again by a stronger than expected 44,000, underemployment remained around its 2022 lows. Participation rate and share of population in employment rose.
- The MSCI AC World fell -0.8% in February. Developed markets underperformed with a -0.9% return, dragged lower mainly by the US. Europe rallied further in February up +3.1% as strength came from recovering cyclical data.
- In the US, the S&P 500 hit record highs mid-month, but reversed earlier strength towards the end of the month to end up -1.4% down, with the technology laden NASDAQ off -4.0%. Defensive stocks outperformed.
- Emerging markets' performance of +0.8% was driven by a strong China market, with MSCI China and Hang Seng delivering +11.7% and +13.4% returns, respectively, buoyed by tailwinds from the AI theme and President Xi's meeting with technology leaders.
- Gold prices hit another record high USD 2.835/oz at month end as tariff risks fuelled demand for safe-haven assets.
- Brent crude oil fell-4.0% to USD 74.05 per barrel as potential Russian-Ukraine truce helps supply expectations and Organisation of the Petroleum Exporting Countries (OPEC) announcing increase in oil production.

Asset Class Summary

Table 1: Asset Class Returns – Periods to 28 February 2025

	1 Month %	3 Months %	1 Year %	3 Years % pa	5 Years % pa	10 Years % pa
Australian Shares	-3.9	-2.6	9.8	9.1	8.8	7.3
Australian Small Companies	-2.0	-1.0	6.6	1.8	5.1	5.9
International Shares (Unhedged)	-0.4	5.0	21.4	16.2	14.9	12.6
International Shares (Hedged)	-2.7	-0.6	15.0	10.3	12.9	9.8
Emerging Markets (Unhedged)	-0.6	6.6	15.2	5.0	4.4	4.8
Australian Property Securities	-1.3	-2.0	10.5	3.3	3.3	6.8
Global Property Securities (Hedged)	2.8	-3.0	11.4	-2.5	0.6	
Global Listed Infrastructure (Hedged)	0.8	-3.0	16.7			
Australian Bonds	1.0	1.8	4.2	0.3	-0.7	1.7
Global Bonds (Hedged)	1.6	0.8	4.8	-1.2	-1.4	
Cash	0.4	1.1	4.6	3.5	2.2	
Change over the month						
AUD/USD	-0.13%	US$ 0.6214				

Past performance is not a reliable indicator of future performance.
Source: iShares Core S&P/ASX 200 ETF, iShares S&P/ASX Small Ordinaries ETF, Vanguard International Shares Index, Vanguard MSCI Index Intl Shrs (H) ETF, iShares MSCI Emerging Markets ETF, VanEck Australian Property ETF, VanEck FTSE Intl Prop Hdg ETF, iShares Core FTSE Global Infrastructure (AUD Hedged), iShares Core Composite Bond ETF, Vanguard Global Aggregate Bd Hdg ETF, iShares Core Cash ETF

Australian Markets

The Australian share market had a mixed performance in February, with some positive momentum at the start of the year giving way to a more cautious outlook. The market ended the month down by -3.9%, a notable pullback after a strong +4.5% gain in January. Despite this monthly dip, the market still saw an impressive +9.8% return over the last 12 months.

Seven of the ASX's 11 sectors finished the month in the red with Information Technology falling -12.3% led by Wisetech’s (ASX: WTC) -27.7% dip in February.

Real Estate and Healthcare also sold off considerably falling -6.4% and -7.7% respectively. On the other hand, Utilities performed strongest increasing 3.2%.

In the financial sector, the National Australia Bank (NAB) reached a significant milestone, closing at $40.14, its first $40-plus close in 17 years (pre-GFC). However, NAB finished the month 14.4% below its high.

Valuations remain expensive, in aggregate the price to earnings (P/E) ratio on the ASX 200 is around 20x versus the long-term average of 15-18x.

Global Markets

Global equity markets showed mixed performance in February, with a slight pullback after the strong gains seen in January. International equities returned -0.4% unhedged and -2.7% hedged, as investors navigated various geopolitical and economic headwinds. The US stock market was under pressure, with the S&P 500 falling -1.3%, the Nasdaq slipping by -2.7%, and the Dow Jones Industrial Average falling -1.4%. In Europe, the London FTSE 100 rose +1.5%, supported by a stronger-than-expected earnings season, leading to the highest close on record. The Japan Nikkei 225 dropped by -6.1% amid concerns over inflationary pressures.

Emerging markets (EM) displayed a more mixed picture in February, with some regions underperforming due to weaker-than-expected economic data and political instability. The Hang Seng was the standout performer returning +13.4% in the month of February.

February 2025 highlights the challenges that investors face in an increasingly complex global landscape. While some markets remain resilient, broader economic uncertainties, geopolitical risks, and central bank policies will continue to shape the direction of equity markets. Investors should maintain a well-balanced portfolio and stay vigilant to potential risks and opportunities as we move further into the year.

Bonds

Bonds performed strongly relative to equities in February, Australian bonds gained +1.0%, however, Australian 10-year bond yields declined 12 basis points to 4.31%, with US 10-year bond yields falling back to 34 basis points to 4.20%.

In February, yield curves steepened slightly. Credit (ex-MBS) markets gained +0.38%, with corporate bond spreads tightening, reflecting lower credit risk and growth expectations in developed economies. Strong earnings and stable economic data supported credit market performance, while emerging market credit faced more mixed results due to regional uncertainties.

The AUD/USD fell -0.13% over the month to 62.14 cents.

Currencies

The Australian Dollar (AUD) continued to face headwinds, influenced by shifting expectations around US Federal Reserve policy, a potentially slower global growth outlook, and ongoing geopolitical uncertainties. The prospect of Chinese stimulus measures provided some support for the AUD. However, risks from global trade tensions and domestic economic challenges kept the currency under pressure.

Outlook for Investment Markets

What do tariffs mean for us in Australia?

There are 3 things to keep in mind:

1. Australia has little direct trade with the US. 0.5% of US imports are from Australia. So, any tariffs targeted towards Australia will be small but could still happen for specific commodity exports like aluminium and lithium. Europe (19%), Canada (18%) and Mexico (13%) make up the lion's share of US imports.

2. The main indirect impact to Australia from tariffs is via lower commodity exports to China, from any disruption to Chinese growth (as our main trading partner). A slowdown in the global economy would also be negative for Australian trade as we are a small, open economy. But in this scenario, China is also likely to push through fiscal spending to offset any economic disruption to which Australian commodities would benefit. There may also be some positive opportunities for Australian businesses to export to the US if the US pivots away from Canada, Mexico, and China.

3. There is a financial market implication for Australia as well which we can already see with the lower Aussie dollar and equity market volatility.

News about new US tariffs on goods from Canada, Mexico, and China (and the announcement of retaliatory tariffs) prompted markets to sell off in an immediate response. However, subsequently we learned that the tariffs on Canada and Mexico would be delayed by a month. While these events continue to unfold, it is important to look back at the market response to the tariff wars in the first Trump administration. History doesn't repeat itself, but it can rhyme — and the first Trump administration trade wars are arguably the best guide we have.

The 2018-2019 trade war between the US and China had a significant impact on the US economy. It caused disruptions, price increases (which squeezed some businesses' profit margins) and elevated uncertainty, which led to stalled US business investment and hiring.

The 2018-2019 tariff war also had a significant impact on markets, taking them on a roller coaster ride. It led to higher volatility as ups and downs were dictated by news flow on trade talks and the removal of tariffs/application of more tariffs. In general, there was a flight to perceived 'safe haven' assets globally.

- When talks broke down and/or additional tariffs were applied, US stocks sold off. When talks resumed, US stocks rose. Once the Phase I trade deal was announced in October 2019, US stocks rose significantly. The S&P 500 fell -4.38% in 2018 but gained +31.49% in 2019.

- Chinese stocks also experienced volatility and sell-offs during the trade war but experienced a recovery as the tariff war subsided. For 2018, the MSCI China A Index fell -30.16%. But for 2019, it rose +36.40%.

In other words, tariffs caused short-term headwinds. Once markets grew accustomed to them and then a resolution was reached as the Phase 1 trade deal between the US and China was announced, volatility eased, and financial markets reaccelerated.

There are clearly a lot of ways that the tariff situation can evolve based on new policy announcements. Our view is that global economy growth is still holding up well, inflation has further to fall (despite some short-term upside from tariffs) and interest rates will be cut further which provides a positive backdrop for share markets, although returns will be lower compared to 2024 and a decent draw-down is likely this year due to the fluid policy backdrop.

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